



ILLUSTRATION BY **RAJ VERMA**

With its shoddy track record, the government cannot go about asking investors to partake in its newfound divestment zeal, unless it can demonstrate that it is about to change its spots. After all, you can't have your cake, and eat it too

is indeed valuable, it is questionable if LIC should be regarded as a clean insurance play, or an extension of the finance ministry which can be pressed into the service of 'national interest' at any time. Prospective investors of LIC need to be cognisant of such risks before getting too excited.

The same issues are likely to crop up in the proposed sale of stakes in two government-owned banks. Would they truly be allowed to operate as freely as their private sector counterparts? The issue is that while the government is happy to sell shares of its companies in the public market to raise money when required, it has nothing but rank disrespect for the rights of other shareholders. Almost as if minority shareholders ought to feel privileged about being conferred the right to own a slice of these jewels and dare not ask questions when their value is eroded serially by poor decision

making. Unless this changes, and the government realises that it can do whatever it wants with 100 per cent owned PSUs—even if that risks running them to the ground like BSNL—it cannot take such liberties where the companies have other non-government shareholders. And with its shoddy track record, it certainly cannot go about asking suitors and investors to partake in its newfound divestment zeal, unless it can demonstrate that it is about to change its spots. After all, you can't have your cake, and eat it too.

The central problem is one of trust, and it isn't a new one. A decade ago, the government did an offer for sale of shares of the upstream oil company ONGC. Before the issue, there were global roadshows where ministers and bureaucrats announced, with great fanfare, how policies with regard to the company would be scrupulously aligned to the

interests of all shareholders. What followed over the years was a series of missteps such as loss/subsidy sharing with oil marketing companies and then the purchase of a majority stake in HPCL. Ten years out, the stock still trades way below the price at which the shares were sold back in 2012. There, hangs a cautionary tale.

Should bidders or investors believe *assurances* from the government that such decisions will not be taken in future with regard to BPCL or LIC? After all, diesel deregulation was just such a promise from the same government, which lay in tatters for over four months till the government deigned to concede enough was enough.

Having dealt in broken promises and high-handed arrogance over the years, the government should now realise that, powerful as it may be, it is still not above the old dictum that actions speak louder than words. **BT**